TITLE VI—FINANCIAL RESPONSIBILITY FOR ADVANCED AI SYSTEMS

SEC. 601. TIERED FINANCIAL RESPONSIBILITY.

(a) IN GENERAL.—As a condition of making a covered product available in interstate commerce, each developer shall maintain financial responsibility in the applicable amount under subsection (b), through liability insurance, a surety bond under section 9304 of title 31, United States Code, an irrevocable letter of credit, or qualification as a self-insurer upon tangible net worth of not less than 10 times such amount. A foreign developer shall comply in a form enforceable against assets located in the United States; a violation is enforceable under section 402 and by orders directed to compute providers, payment processors, and content delivery networks to cease facilitating availability of the covered product in the United States.

(b) AMOUNTS.—The minimum is—

(1) none, below 10^{23} training operations and $10,000,000 in annual covered-product revenue;

(2) $10,000,000, at or above either threshold in paragraph (1) but below 10^{25} operations and $100,000,000 in such revenue;

(3) $100,000,000, at or above either threshold in paragraph (2) but below 10^{26} operations and $1,000,000,000 in such revenue; and

(4) $1,000,000,000, at or above either threshold in paragraph (3), or upon systemic designation by the Attorney General, together with participation in the Fund under section 602.

(c) OPEN SOURCE.—A developer releasing a covered product, including its weights, under a license permitting unrestricted use, modification, and redistribution without monetary consideration beyond reasonable cost recovery is exempt from this section, except where subsection (b)(4) applies; revenue of third-party deployers shall not be attributed to the releasing developer.

SEC. 602. ADVANCED AI COMPENSATION FUND.

(a) ESTABLISHMENT.—There is established in the Treasury the Advanced AI Compensation Fund to compensate claimants for a qualifying AI incident: an occurrence, or series of related occurrences traceable to a single covered product, causing harm to more than 500 persons or aggregate damages exceeding $500,000,000, as certified by the Attorney General.

(b) PREMIUMS AND INDEMNIFICATION.—Each developer subject to section 601(b)(4) shall enter into an agreement of participation. Upon certification, each participant shall pay a

retrospective premium not to exceed $500,000,000 per incident and $200,000,000 per annum, payable in not more than 5 equal annual installments. The Secretary of the Treasury shall pay amounts certified as payable in excess of aggregate retrospective premiums, up to $30,000,000,000 per qualifying AI incident. The Fund does not limit recovery under title I and pays only to the extent a claimant's recovery is not otherwise satisfied.

SEC. 603. INSURANCE COVERAGE AND SAFE HARBOR.

(a) AFFIRMATION OR EXCLUSION.—Not later than 24 months after the date of enactment, each insurer issuing or renewing in the United States a policy of commercial general liability, errors and omissions, professional liability, directors and officers liability, or cyber insurance shall expressly affirm or exclude coverage for harm caused by a covered product. A policy silent as to such coverage, issued or renewed after such date, shall be construed as affording it to the extent of the policy's other terms and limits.

(b) SAFE HARBOR.—In any liability action arising under paragraph (1) or (2) of section 101(a), a developer demonstrating substantial compliance, at the time the covered product left its control, with the National Institute of Standards and Technology Artificial Intelligence Risk Management Framework (NIST AI 100-1) and Generative AI Profile (NIST AI 600-1), or with ISO/IEC 42001:2023, or any successor, is entitled to a rebuttable presumption of reasonable care, rebuttable by a preponderance of the evidence showing that implementation was, in the specific circumstances giving rise to the harm, inadequate to address a foreseeable risk. This subsection does not apply to actions arising under paragraph (3) or (4) of section 101(a).

SEC. 604. CONFORMING PROVISIONS.

Compliance with this title shall not limit any claimant's right of recovery under title I. Each dollar amount in this title shall be adjusted annually in proportion to the change in the Consumer Price Index for All Urban Consumers, rounded to the nearest $1,000,000. Title V and section 501 of this Act, as originally enacted, are redesignated as title VII and section 701, respectively.

SEC. 605. EFFECTIVE DATE.

(a) IN GENERAL.—Sections 601 and 602, and section 604 insofar as it applies to sections 601 and 602, shall take effect 18 months after the date of enactment.

(b) SECTION 603.—

(1) Section 603(a) shall take effect on the date of enactment.

(2) Section 603(b) shall take effect 18 months after the date of enactment.